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THE COUNTDOWN I-T officials had to use 17 counting machines to cope with the volumes of cash; (inset) Piyush Jain

state GST. Apart from this, the central government imposes a cess of 60 per cent on these products to discourage their use. The hefty taxes are at the root of the illegal businesses of pan masala, gutka and associated raw materials like chemical compounds. The chemical flavouring compound is manufactured in Kannauj." Chemical compounds are used for flavouring in pan masala and gutka. The smell gives a unique identity to the pan masala and allegedly makes people addicted to it.

Piyush Jain and his brother Ambrish Jain are known as the 'Compound Kings' in Kannauj and Kanpur. Piyush's father Mahesh Chandra Jain started the compound manufacturing business in Kannauj in 1997. Piyush, who has a Masters degree in Chemistry from Kanpur University, learned the formula from his father. His company, Odochem Industries, created a unique synthetic sandalwood oil extract, which in no time became the first choice of pan masala manufacturers. A litre of his synthetic oil goes for Rs 10 lakh in the market, say sources. Tomar explains, "Catechu, lime, clove, cardamom, along with spices and a chemical called 'Gambier', which is also used for cleaning leather, is used to make the compound. The special formula, of course, is known only to the makers." Raw material for the compound is procured from Assam, West Bengal, Andhra Pradesh and Maharashtra. The illegal business and tax evasion begins with the process of sourcing raw materials. Tomar says, "The annual tax evasion in the pan masala and gutka business of Kanpur is more than Rs 1,000 crore. This is besides the money from illegal supplies to states where it is banned."

So how does the gutka business avoid the tax man? Deputy commercial tax commissioner Vivekananda Kumar, who was posted in Kanpur for six years, says, "Most of these businessmen lead very simple, 'invisible' lifestyles. They keep the annual turnover of their companies low and pay their taxes on time. So they are never on the radar of the GST and I-T departments. But since their illegal business involves cash, they have to keep a lot of it hidden."

Piyush Jain used to move around Kannauj town on a Bajaj Priya scooter or his Santro car. The registered annual turnover of his company, Odochem Industries, was Rs 7 crore for 2019-20. His I-T returns for the same year showed an income of Rs 15 lakh.

Meanwhile, with the election campaign in full swing, the main parties are using the raids to take potshots at each other. Prime Minister Narendra Modi, who reached Kanpur to inaugurate the metro on December 28, targeted Samajwadi Party president Akhilesh Yadav, alleging that he and his party were somehow involved. "The perfume of corruption that he had sprinkled all over UP before 2017 is now again in the air. But he is not coming forward to take credit," Modi alleged.

The prime minister was taking aim, it seems, at SP Member of the Legislative Council (MLC) and perfumer Pushpraj 'Pumpi' Jain, 55, who is close to Akhilesh and lives about 200 metres away from Piyush Jain's house on Jain Street in Kannauj. Pumpi is famous for launching a 'Samajwadi perfume' every year. Two months back, he had launched the 'Samajwadi ittar', made from the extract of 22 flowers, in Lucknow. The BJP is trying to make the case that the cash found at Piyush Jain's house was meant for the SP leader to fund the party's election campaign.

Pumpi, though, vehemently denies the allegation. "The BJP is spreading canards about me before the election. I have no business relations with Piyush," he says. SP chief Akhilesh had called a press conference in Kannauj on December 31 to show solidarity to Pumpi but an hour before it was to start, I-T teams raided the latter's houses, offices and factories in Surat, Delhi, Mumbai, Kolkata, Kanpur, Kannauj and Lucknow. Pushpraj Jain is one of the big perfumers of Kannauj with business interests in the UK, US and Gulf countries. His firm, Pragati Aroma Oil Distillers Pvt Ltd, makes a perfume called 'Rooh Gulab', which is in great demand abroad. In 2016, he was elected MLC as an SP candidate.

IT officials claim they found evidence of fraudulent purchases and billing of more than Rs 20 crore and seized Rs 2 crore in cash in the raids. Akhilesh, though, is calling the raids a conspiracy to tar the name of Kannauj. Kannauj is also the parliamentary constituency of his wife and ex-MP Dimple Yadav. She lost to the BJP's Subrata Pathak in the 2019 Lok Sabha election. Akhilesh says, "BJP leaders from Delhi to Lucknow are trying to defame Kannauj. They have trouble dealing with a perfume made in the name of the Samajwadi Party. Now there will be a perfume revolution. Change will happen in 2022." Kannauj's merchant class, though, will be hoping the revolution passes them by, ruffling as few feathers as possible. ■